early after Independence, the large private industry was subjected to much exclusion whereas small industry was favoured with reservations. Basic industries were reserved for the public sector and a lot of consumer industries were reserved for SSI.

The policy of SSI reservation remained a favourite for many decades. At its peak, more than 900 products were reserved for manufacturing exclusively in SSIs. A majority of these items, such as textiles, were most competitively produced at large scale. India lost the global export battle in manufacturing these items competitively at the altar of SSI reservations. Most reserved items were also low-tech, high labour-intensive products. As they could not be produced at scale to meet global demand, their potential to create jobs was also lost.

The policy always believed that small businesses, later on further divided into micro, small and medium, are inherently weak compared to large-scale enterprises and would survive only with government exemptions, concessions and financial support. Many exemptions under tax, labour and other laws have been prompted by this basic policy assumption.

Small businesses are not fundamentally unprofitable. These are different businesses that meet vital economic needs and, therefore, should be treated as normal businesses. It is not crutches but the right policy support that these businesses need to thrive.

MSMEs Lack Access to Equity Capital

Any business needs equity to get started. Equity is the risk capital necessary to bring in debt capital as well. MSMEs, most particularly micro-enterprises, badly lack equity. Most micro-entrepreneurs have only their skills/knowledge and time as equity. Some may have some savings, a parcel of land or loans taken from friends and relatives.

It is a stark fact that the Indian governmental and financial ecosystem does not provide any equity support to MSMEs. It does not even talk about